

get impacted, but they were impacted,” he says.

Dabur marked up its healthcare products, which enjoy market-leading positions, and cut advertising and promotional expenses. The mark-ups accounted for only 6 per cent of the 10-11 per cent rise in costs, and it had to take a 4 per cent hit on margins.

Prabhudas Lilladher's Aggarwal says Dabur's healthcare business was lacklustre last year, and the personal care portfolio (skincare and haircare) has suffered as their consumption has declined marginally after Covid-19. Malhotra insists these are in the past. At his sprawling corner office overlooking the vast greenery in and around Kaushambi in Ghaziabad, Malhotra radiates confidence as he unveils Dabur's plans. In H1FY24, net sales were up 9 per cent, to ₹6,334 crore, from ₹5,808 crore in H1FY23.

The home and personal care (HPC) segment, which contributes over 47 per cent to domestic sales, grew handsomely, while its oral care business grew 13 per cent year-on-year (YoY). In comparison, market leader Colgate grew by 7 per cent. Malhotra says Dabur, the second largest player in the local toothpaste market, gained market share across 95 per cent of its portfolio. “So things are looking up as we see, and our first quarter results also portrayed the same result. In terms of competitive intensity, ours were by far better results,” he says.

But profitability remains a concern. Despite broad margins and top-line growth by double digits, its net profit was up by just 3.4 per cent YoY to ₹964 crore.

POWERING DABUR

The management is revving up the ‘power brands strategy’ it had worked out before Covid-19. Burman says the strategy will help Dabur hit its mid- to long-term goals. “We intend to develop these power brands to power platforms by introducing a range of products and formats under each brand, expanding the total addressable market,” he says. Dabur will also step up innovation and make the brands more attractive to younger consumers.

Dabur has identified eight power brands in India

and one for the international markets. Burman says it could increase the number of power brands based on their potential to grow into “₹1,000-crore” brands. The company will back the brands with more muscle in direct-to-consumer and distribution.

Malhotra says the strategy is derived from Dabur's current market position. Its revenue is a fifth of the largest player in the market (HUL), but its shelf space is just 4 per cent. The company needs to increase its addressable market to grow its shelf space “to 10 per cent at least”. “So, how do we increase our addressable market? We are in the HPC space, with Dabur Amla as a power brand. It is present only in the hair oil space. Can that get into shampoos? The answer is yes,” he explains. Then, why not explore the premium and economy price segments within haircare under Dabur Amla? In oral care, his bet is on Dabur Red, which is in toothpowder and toothpaste. Why not tooth

gel, he asks. Dabur's share of the oral care market is 17 per cent, against Colgate's 50 per cent, leaving ample room for growth. In skincare, the brand Fem, which is into bleaches, could be expanded into lotions or creams.

The health and nutraceuticals market, which grew sharply during Covid-19, will be addressed by its brands Dabur Chyawanprash and Dabur Honey. It could use the Chyawanprash brand to grow in nutraceuticals and health drinks and the Honey brand to put more items on the breakfast table. Malhotra will use

the Dabur Lal Tail brand to get into the gap in the baby care space left due to Johnson and Johnson's exit. “We flew our test balloon on e-commerce and found it very successful. We launched a baby powder, diapers, baby oil and a baby diaper rash cream. We launched a whole range of around 10 SKUs there. The brand is yielding over ₹20 crore. And now, from e-commerce, I have to take it to the mainstream for it to grow and spread,” he explains.

Dabur Honitus is its power brand in over-the-counter or OTC medications, while Dabur Shilajit is being readied in male wellness. Malhotra hopes that, as urbanisation grows, its male wellness business, which is growing at 30 per cent, will also become substantial. Naveen Trivedi,



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“Dabur’s power brand strategy has helped its business in recent quarters. It is a much diversified FMCG company compared with most of its peers”